

that work in synergy. IndiGo will need to leverage all this ammunition as it seeks to overcome a bunch of challenges it faces to its growth.

A **NEWLY-PRIVATISED** Air India and the entry of Akasa Air are expected to put pressure on IndiGo's thinning margins. "With increased competitive intensity, higher profitability would remain a question even if ATF (aviation turbine fuel) prices cool down. Historically, we have seen Indigo focussing on market share over profitability, which should benefit it in the longer term," says Karan Khanna, Analyst at Ambit Capital, adding that the airline's strategy to expand into Tier II and III domestic routes, as well as international routes would ultimately bear fruit as both yield higher revenues compared to metro routes.

Then, shares of InterGlobe Aviation have underperformed the benchmark indices on a year-to-date basis due to higher fuel prices and adverse currency movement. Its standalone net loss widened to ₹6,171.03 crore for FY22 against a loss of ₹5,829.79 crore in FY21. For the quarter ended June 30, it again reported a loss of ₹1,065.42 crore, albeit lower than Q1FY22's loss of ₹3,179.27 crore. Agreeing that the past two years were challenging for the company, Sanjay Kumar, Chief Strategy & Revenue Officer at IndiGo, points to the recovery in the air travel market in the past seven months, especially from small businesses and visiting friends and relatives (VFR). "VFR and leisure travel will drive business for airlines... especially between metros and Tier II and III cities. We have also seen 100 per cent recovery in business travel in the past few months and are expecting the demand to soon exceed pre-pandemic levels," says Kumar.

Market analysts feel IndiGo must do more. "Expanding presence in the domestic and international markets and working on cargo revenues should help the company increase its earnings," says Deepak Jasani, Head of Retail Research at HDFC Securities. "With ATF prices moderating, higher capacity utilisation, cost rationalisation, higher yields and fuel-efficient aircraft, the margins could start improving. Average Q2FY23



'COMPETITION KEEPS YOU ALERT'

Pieter Elbers, IndiGo's new CEO, talks about surviving in an intensely competitive market, retaining leadership position, and more

BY **MANISH PANT**

PIETER ELBERS, 52, comes to IndiGo after spending nearly three decades with the world's oldest passenger carrier, KLM Royal Dutch Airlines. Specially handpicked to consolidate the Gurugram-based low-cost carrier's leadership position as well as drive its international expansion, Elbers says there is scope for multiple carriers in the Indian market. Edited excerpts from an interview:

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What are your first impressions of the Indian civil aviation market?

Civil aviation in India is moving forward very fast. The fact that we have this growth, the fact that we have these plans, and the fact that the government in India is supporting air travel to all those smaller communities in Tier II and III cities... IndiGo is an important part of the execution of that vision.

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How do you propose to adjust to the low-cost for-

mat at one of the world's most cut-throat airline markets?

KLM, too, has a low-cost subsidiary, Transavia. Of course, the product is very different at IndiGo. But at the end of the day, low-cost or full-service is a choice that you make in positioning the product to your customer and their needs. The dynamics are the same. You need to make sure that your customers are treated well and that your employees are enabled to do a great job of running a safe and reliable operation.

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How does IndiGo plan to retain its leadership position while competing with a newly privatised Air India and a very young Akasa Air?

By continuing to do what we're good at! The Indian aviation market is big enough for multiple airlines to operate. Yes, we'll face competition, but competition keeps you alert and helps elevate the market. For a country